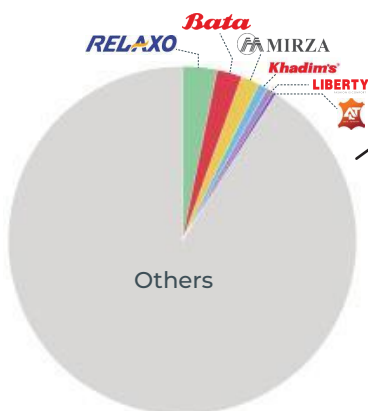
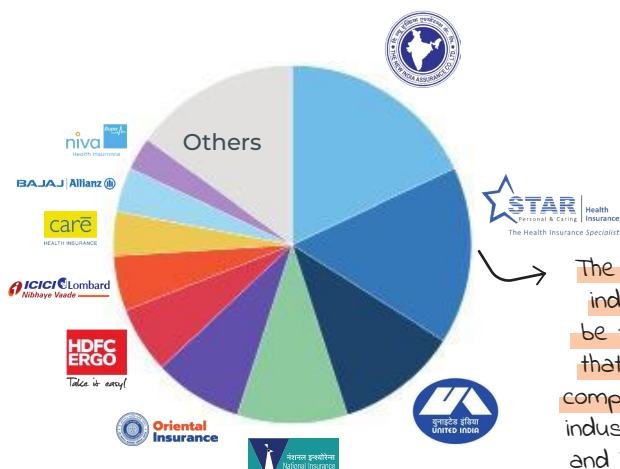




Differences in Product Quality

(Homogenous/Minor differences/Major differences)

An important factor that impacts the challenger's ability to undercut prices and sell their products is the difference between the quality of products of the various competitors.



If the products are homogenous or have minor differences, the purchase decision depends on the price alone.



The firms can successfully undercut each other to gain market share.